

Marsood Khan @ Maqsood Khan v. U.P. Power Corporation Ltd. & Others

High Court of Judicature at Allahabad · Division Bench · 3 November 2016 (dismissed as not pressed) — order-sheet 8.2.2012 to 3.11.2016 · WRIT - C No. 7010 of 2012 · **Writ petition dismissed as not pressed on 3.11.2016 (Arun Tandon and Naheed Ara Moonis, JJ.), the interim order standing discharged, without any decision on the merits. Earlier, by interim order dated 8.2.2012 (Ashok Bhushan and Sunita Agarwal, JJ.), the Court had found that the petitioner's contention - that respondent no.3 was not authorized under Clause 7.3(I) of the U.P. Electricity Supply Code, 2005 to make the electricity-theft assessment - prima facie made out a case for interim relief, and had stayed further action on the assessment dated 18.11.2011; on 26.9.2012 (Yatindra Singh and Mahendra Dayal, JJ.), following a modification of the interim order in the leading writ petition, the interim order was confirmed subject to the petitioner furnishing a bank guarantee of half of the amount in the provisional bill within three weeks (failing which it would automatically vacate), the guarantee realisable only after the provisional bill was finalised and only to the extent the final amount exceeded it, and the petitioner to continue paying future charges; on 14.11.2013 the time to furnish the guarantee was extended, with a direction that any disconnection made only for its non-furnishing be restored on furnishing.**

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HEADNOTE

Interim order-sheet, ending in dismissal as not pressed, in a writ challenging an electricity-theft assessment on the ground that the assessing officer lacked authority under the Supply Code. The petitioner, Marsood Khan @ Maqsood Khan, challenged an assessment dated 18.11.2011 made by respondent no.3, contending that respondent no.3 was not authorized under Clause 7.3(I) of the U.P. Electricity Supply Code, 2005 to make an assessment of electricity theft. On 8.2.2012 the Division Bench (Ashok Bhushan and Sunita Agarwal, JJ.) held that this contention prima facie made out a case for interim relief and stayed further action on the assessment dated 18.11.2011. The petition was heard with a bunch of connected writ petitions; on 26.9.2012 (Yatindra Singh and Mahendra Dayal, JJ.), in view of the modification of the interim order in the leading writ petition, the interim order here was confirmed subject to the petitioner furnishing a bank guarantee of half of the amount in the provisional bill before the Executive Engineer of Dakshinanchal Vidyut Vitran Nigam Ltd. within three weeks, failing which it would automatically vacate; the guarantee was realisable only after the provisional bill was finalised and only if the final amount exceeded it, the petitioner meanwhile paying future charges. On 14.11.2013 (Sheo Kumar Singh and Pradeep Kumar Singh Baghel, JJ.) the time to furnish the guarantee was extended to 25.11.2013, with a direction that if the connection had been disconnected only for non-furnishing of the guarantee it be forthwith restored on furnishing. Ultimately, on 3.11.2016 (Arun Tandon and Naheed Ara Moonis, JJ.), the petitioner got the writ dismissed as not pressed and the interim order was discharged. The Clause 7.3(I) authority question was never decided on the merits.

FACTUAL SUMMARY

Marsood Khan @ Maqsood Khan filed Writ-C No. 7010 of 2012 before the Allahabad High Court against U.P. Power Corporation Ltd. and others, challenging an assessment of electricity theft dated 18.11.2011 (Annexure 2 to the writ petition). His counsel contended that respondent no.3 was not authorized, under the provisions of the U.P. Electricity Supply Code, 2005, to make an assessment of electricity theft, relying on Clause 7.3(I) of the Code. On 8.2.2012 the Division Bench (Ashok Bhushan and Sunita Agarwal, JJ.) issued notice, found that the petitioner's submission prima facie made out a case for interim relief, and directed that in the meantime no further action be taken in pursuance of the assessment dated 18.11.2011. The petition was directed to be listed with a bunch of connected writ petitions. On 26.9.2012 (Yatindra Singh and Mahendra Dayal, JJ.), in view of the modification of the interim order in the leading writ petition, the interim order in this petition was confirmed subject to the modification that further proceedings in pursuance of the provisional assessment notice would remain stayed provided the petitioner furnished a bank guarantee of half of the amount mentioned in the provisional bill before the concerned Executive Engineer of Dakshinanchal Vidyut Vitran Nigam Ltd. within three weeks, failing which the interim order would stand automatically vacated; it was clarified that if the writ were dismissed the bank guarantee would be transferred to M/s Torrent Power Limited, realisable only after the provisional bill was finalised and only to the extent the final amount due exceeded the guarantee, and that the petitioner would continue to pay all future charges. On 14.11.2013 (Sheo Kumar Singh and Pradeep Kumar Singh Baghel, JJ.), on the petitioner's time-extension application (the connection having been disconnected for non-furnishing of the guarantee), the Court permitted the petitioner to furnish the bank guarantee by 25.11.2013 and directed that, on furnishing it and completing formalities, any disconnection made only on that ground be forthwith restored. Finally, on 3.11.2016 (Arun Tandon and Naheed Ara Moonis, JJ.), the petitioner, through a Civil Misc.

Application, submitted that the writ be dismissed as not pressed; the writ petition was dismissed as not pressed and the interim order, if any, stood discharged.

REUSABLE CONSTRUCTIONS

1. A prima facie contention that the officer who made an electricity-theft assessment was not authorized to do so under Clause 7.3(I) of the U.P. Electricity Supply Code, 2005 may make out a case for interim relief staying further action on the assessment. **order of 8.2.2012**
2. As interim protection in an assessment challenge heard with a connected bunch (following the leading writ petition), the court may stay further proceedings on the provisional assessment subject to the consumer furnishing a bank guarantee of half of the provisional bill within a fixed time - the guarantee realisable only after the bill is finalised and only to the extent the final amount exceeds it - with the consumer meanwhile paying all future charges, the interim order to vacate automatically on default. **order of 26.9.2012**
3. Where a connection has been disconnected only for non-furnishing of the bank guarantee, the court may extend time to furnish it on sufficient cause and direct that, on furnishing and completion of formalities, the connection be forthwith restored. **order of 14.11.2013**
4. A writ dismissed as not pressed carries no decision on the merits and discharges the interim order; the underlying question - here, the assessing officer's authority under Clause 7.3(I) - is left open. **order of 3.11.2016**

HOLDING-UNITS

HOLDING-UNIT · UP-2005::7.3(I)

OBITER

Interim stay of an electricity-theft assessment on a prima facie challenge that the assessing officer lacked authority under Clause 7.3(I); later confirmed on a bank guarantee of half the provisional bill; merits undecided as the writ was dismissed as not pressed

QUESTION

Was respondent no.3 authorized under Clause 7.3(I) of the U.P. Electricity Supply Code, 2005 to make the electricity-theft assessment dated 18.11.2011, and what interim relief should issue pending decision?

HOLDING

Interim relief was granted on a prima facie view and the merits were never decided. On 8.2.2012 the Division Bench held that the petitioner's contention - that respondent no.3 was not authorized under Clause 7.3(I) to make the theft assessment - prima facie made out a case for interim relief, and stayed further action on the assessment dated 18.11.2011. Following the modification of the interim order in the leading writ petition, on 26.9.2012 the interim order was confirmed subject to the petitioner furnishing a bank guarantee of half of the provisional bill within three weeks (failing which it would automatically vacate), the guarantee realisable only after the provisional bill was finalised and only to the extent the final amount exceeded it, and the petitioner meanwhile paying future charges. The time to furnish the guarantee was later extended, with restoration of any connection disconnected only for its non-furnishing. Ultimately the petitioner got the writ dismissed as not pressed on 3.11.2016 and the interim order was discharged; the Clause 7.3(I) authority question was left open. **order of 8.2.2012; order of 26.9.2012; order of 3.11.2016**

EVIDENCE *"respondent no.3 is not authorized under the provision of U.P. Electricity Supply Code, 2005 to make assessment of electricity theft. He refers to clause 7.3 (I) of the Code aforesaid. Prima facie the submissions made by the petitioner makes out a case for grant of interim relief."* **order of 8.2.2012**

EVIDENCE *"In the meantime no further action shall be taken in pursuance of assessment dated 18.11.2011 (Annexure 2 to the writ petition)."* **order of 8.2.2012**

EVIDENCE *"the further proceeding in pursuance of the provisional assessment notice shall remain stayed provided the petitioner files a bank guarantee of half of the amount, mentioned in the provisional bill before the concerned Executive Engineer of the Dakshinanchal Vidut Vitran Nigam Ltd. within a period of three weeks."* **order of 26.9.2012**

EVIDENCE *"The writ petition is accordingly dismissed as not pressed. Interim order, if any stands discharged."* **order of 3.11.2016**

FLAG Interim order-sheet of 11 pages, dated orders from 8.2.2012 to 3.11.2016 across several Division Benches, heard with a bunch of connected writ petitions led by a 'leading writ petition'; no printed page numbers; pins are order dates. Operative interim relief: order of 8.2.2012 (Ashok Bhushan and Sunita Agarwal, JJ.); bank-guarantee modification: order of 26.9.2012 (Yatindra

PRINCIPLE TAGS

authority-to-assess-theft-under-clause-7.3 The petitioner's prima facie contention that respondent no.3 was not authorized under Clause 7.3(I) to assess electricity theft warranted interim relief; the authority question was never decided (writ dismissed as not pressed). Same authority-to-assess line as SCJ-859, SCJ-900 and SCJ-1566. **order of 8.2.2012**

interim-stay-of-theft-assessment-on-bank-guarantee-of-half Following the leading writ petition, the interim stay of the provisional assessment was made conditional on the consumer furnishing a bank guarantee of half the provisional bill, realisable only after finalisation and only to the extent the final amount exceeded it, with future charges to be paid meanwhile. **order of 26.9.2012**

restoration-of-connection-on-furnishing-bank-guarantee The time to furnish the bank guarantee was extended and it was directed that any connection disconnected only for its non-furnishing be forthwith restored on furnishing the guarantee and completing formalities. **order of 14.11.2013**

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER RESPONDENT NO.3 WAS AUTHORIZED UNDER CLAUSE 7.3(I) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 TO MAKE THE ELECTRICITY-THEFT ASSESSMENT DATED 18.11.2011

Not decided. The Court took only a prima facie view for interim relief; the writ was dismissed as not pressed on 3.11.2016 without adjudicating the authority question. **order of 8.2.2012**

NOT DECIDED — THE CORRECTNESS AND QUANTUM OF THE PROVISIONAL ASSESSMENT DATED 18.11.2011

Not decided; the assessment challenge was never adjudicated on the merits, the writ being dismissed as not pressed. **order of 3.11.2016**

RELATED CASES — SEE ALSO

SCJ-859 — On the authority to assess electricity theft under Clause 7.3(I) of the Supply Code (same U.P. Power Corporation context) - the very provision and authority question the petitioner raised here.

SCJ-900 — Theft-assessment-authority under Clause 7.3(I) against U.P. Power Corporation - directly cognate to the petitioner's contention that respondent no.3 lacked authority to assess.

SCJ-1566 — Holds that the power to make a provisional assessment vests in the Executive Engineer (a proposal by a subordinate officer being insufficient) - on the same who-may-assess question underlying the Clause 7.3(I) challenge here.

SCJ-1063 — Interim restoration of supply on furnishing security/deposit pending decision on an assessment - the same interim-security-and-restoration posture as the bank-guarantee-of-half condition imposed here.

SCJ-1974 — Companion Allahabad order-sheet granting interim protection against a theft-related assessment and later disposed of without any merits decision - the same interim-stay-then-dismissed-without-merits posture.